term trend is still up. Here is what you should expect to hear at various points in the decline. At 5% down: "That's everybody's estimate!" At 10%: "That's the gift we've been anticipating for four years!" At 15%: "This is the maximum for the long awaited 10-15% correction!" At 20%: "That's the depth of the average bear market!" At 35%: "It's just a repeat of the 1987 crash!" At 45%: "This matches 1973-1974!" And so on, always referring to the fall as "a healthy, overdue correction in the long term bull market." If bull markets climb a Wall of Worry, I would add that bear markets slide down a Slope of Hope.

Believe it or not, all this bullish sentiment is, in a sense, programmed into all the fancy software that Wall Street is using. The programmers don't know it, but it is true. Most programs use data going back ten to fifteen years, and few use data going back more than twenty years. In other words, the computer programs that are trying to think their way through the stock market have been told that Cycle wave V is normal behavior, the way that stocks always act. The software will be completely befuddled when the bear market hits. Against all the "historical" parameters in their data banks, the market will be considered a bargain when it is down 10%, 20%, 30%, and lower, just as if the conclusion were being reached by real people.

Second waves typically recreate the emotions present at the preceding major turn, so psychology in the wave ② rally (such as is occurring in bonds now) should be extremely exuberant, reflecting certainty that the bull market has resumed. Be prepared to resist the relentless drumbeat of hopeful opinion that will accompany most of the first and second waves of the bear market. Their hallmarks will be that (1) "There are too many bears for the market to continue down," and (2) "Stocks are so cheap now that they are bargains." After the peak of wave ②, the buy-and-hold philosophy will begin its long process of melting away, just as the short term trading psychology of ten to fifteen years ago ultimately did. Even during the first half of wave ③, many commentators will justify their bullish opinion on the grounds that the market has fallen so much, so it will be important to maintain *perspective*. Take a good look at the Grand Supercycle in Figure 2-3 and realize that even at 50% down, the bear market will have hardly begun. This process will repeat on a larger scale during the rally for Cycle wave B.

For the majority, the "point of recognition" that the trend has changed for real will occur in a panic with the center of wave ③ of